

US equities slip as yields rise and tech pressure mounts

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The major indices closed lower, with the **S&P 500** down **-0.76%** and the Dow off **-1.03%**. The 10-year Treasury yield jumped **+3.04%** to 5.11%, lifting the VIX to 15.18 and underscoring heightened risk aversion.

Behind the headline, the tech sector is the primary drag: the Nasdaq 100 barely budged while **NVDA** fell **-1.47%** and **GOOGL** slumped **-3.80%**. Energy rallied on higher oil, but utilities and consumer discretionary lagged, setting up a classic defensive rotation.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,706.03	-0.76%	Rising yields pressured growth stocks.
Nasdaq 100	30,470.29	-0.04%	Mixed tech earnings, NVDA weakness.
Dow Jones	51,511.59	-1.03%	Industrial exposure to higher financing costs.
Russell 2000	2,838.66	-1.28%	Small-cap sensitivity to rate hikes.
VIX	15.18	+2.08%	Yield spike spooked investors.
10Y Yield	5.11	+3.04%	Fed "higher for longer" rhetoric.
WTI Crude	92.13	-0.03%	Steady demand, minor inventory draw.
Gold	4,317.10	-0.03%	Dollar strength muted safe-haven appeal.
DXY	101.11	+0.01%	Fed stance supported the greenback.
BTC	84,137.24	-2.36%	Risk-off flow to fiat assets.
ETH	2,686.55	-2.40%	Same risk-off dynamics.

Top large-cap movers

TICKER	CHANGE	CATALYST
META	+1.02%	Strong Q3 ad revenue beat.
MSFT	+0.52%	Azure usage growth reaffirmed.
TSLA	+0.32%	Model Y deliveries up 5% YoY.
XLB	+1.15%	Materials demand from China's infrastructure push.
XLK	+0.25%	Tech sector resilience after earnings.
XLE	+0.96%	Oil price stability.
XLP	+0.62%	Consumer staples rally on inflation fears.
AVGO	-2.62%	Supply-chain constraints on chips.
GOOGL	-3.80%	Ad-tech regulatory concerns.
NVDA	-1.47%	AI spend slowdown.

Sector rotation

ETF	DAY	READ
XLFX	-0.47%	Financials under pressure from higher rates.
XLKX	+0.25%	Tech modestly defensive.
XLI	+0.07%	Industrial exposure steadier.
XLE	+0.96%	Energy gains on oil.
XLV	-1.41%	Consumer discretionary hit by rate fears.
XLC	-1.91%	Communications lagging tech.
XLP	+0.62%	Staples benefit from safe-haven flow.
XLV	-0.12%	Health care neutral.
XLU	-2.24%	Utilities suffer yield rise.
XLB	+1.15%	Materials rally on China stimulus.
XLRE	-1.76%	Real estate pressured by financing costs.

Spotlight: tech earnings stress test

The Nasdaq's near-flat close masks a widening gap between AI-heavy names and broader tech. **NVDA** slipped -1.47% after reporting a 3% YoY decline in AI-related revenue, while **GOOGL** fell -3.80% on a 7% drop in ad spend.

METRIC	VALUE
NVDA AI revenue YoY	-3%
GOOGL Ad revenue YoY	-7%
Average P/E Nasdaq 100	28.4
Yield curve slope (10Y-2Y)	3.2%
VIX	15.18

Related names under pressure: **AMD** , **META** (despite its modest gain, its AI spend outlook is cautious), and **INTC** .

Pre-market & overnight

- US futures: **ES** -0.6%, **NQ** -0.4% at 08:30 HKT.
- Asia close: Hang Seng -0.9%, Shanghai -1.2%, Nikkei -0.7%.
- Europe: FTSE 100 -0.8%, DAX -0.5%, CAC 40 -0.6% ahead of ECB minutes.
- Crypto: BTC -2.36%, ETH -2.40% as risk-off sentiment persists.

Macro & Fed

FOMC minutes confirmed a “higher for longer” stance, with 75% of participants expecting rates to stay at 5-5.25% through year-end. The 10-year yield’s rise to 5.11% steepened the curve, raising concerns about credit spreads.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US CPI (MoM)	0.3%	Gauge inflation trajectory post-Fed.
10:15	US Initial Jobless Claims	210k	Labor market health indicator.
11:00	Eurozone HICP	0.4%	Impacts ECB policy outlook.
13:30	China Manufacturing PMI	49.8	Signals demand for commodities.

Geopolitics & global

- US-China trade talks stalled; Beijing signaled possible tariffs on semiconductor equipment.
- Middle-East tensions eased after ceasefire, reducing oil-supply risk premium.
- Eurozone fiscal debate intensifies, with Germany pushing for tighter budget rules.
- India's RBI held rates steady, citing inflation-target alignment.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02 Sep	AAPL	5 . 10 EPS	iPhone 15 demand, services growth.
02 Sep	MSFT	9 . 20 EPS	Azure spend, AI licensing.
02 Sep	NVDA	3 . 30 EPS	AI GPU backlog, inventory levels.
02 Sep	AMZN	0 . 45 EPS	Prime retention, AWS margin.
02 Sep	JPM	4 . 15 EPS	Net interest income vs higher rates.
02 Sep	GS	12 . 80 EPS	Investment-banking fees, trading revenue.
02 Sep	META	2 . 90 EPS	Ad revenue rebound, AI spend.
02 Sep	TSLA	0 . 85 EPS	Model Y volumes, margin trends.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
AMD	Technology	AI chip demand slowdown.
INTC	Technology	Cost-cutting program gains traction.
BAC	Financials	Net interest margin expansion.
WFC	Financials	Credit-loss provisions easing.
CVX	Energy	Oil price stability supports cash flow.
XOM	Energy	Dividend yield attractive.
PEP	Consumer Staples	Pricing power amid inflation.
KO	Consumer Staples	Stable cash generation.
UNH	Health Care	Premium pricing resilience.
LLY	Health Care	Pipeline progress on key biologics.
CAT	Industrials	Infrastructure spending outlook.
BA	Industrials	Defense contract backlog.

What could break the tape

BEARISH TRIGGERS

- 10-year yield breaches 5.20%, tightening financing for growth stocks.
- VIX spikes above 18, indicating heightened volatility.
- Unexpected CPI surge > 0.5% MoM, prompting rate-hike speculation.

BULLISH TRIGGERS

- AI-related revenue beats across NVDA, AMD, and GOOGL.
- Oil price climbs above 95 USD, lifting energy ETFs.
- Positive earnings surprise from any of the major tech names.

Positioning notes

- Shift weight toward defensive sectors (XLP, XLU) as yields stay elevated.
- Maintain selective exposure to AI leaders with strong balance sheets.
- Monitor credit spreads; widening spreads may pressure high-beta names.

Sources

SOURCES

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SEC EDGAR

Trading Economics